

MERIDIAN BANK LIMITED

Anti-Money Laundering and Counter-Financing of Terrorism (AML/CFT) Policy

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1. Introduction and Regulatory Framework

1.1 Purpose and Scope

This Policy establishes the framework through which Meridian Bank Limited (the "Bank") prevents, detects and reports money laundering and the financing of terrorism. It applies to all branches, business units, employees, contractors and agents of the Bank, and to every product, account and channel through which the Bank accepts funds or executes transactions, including digital and UPI-based payment rails. The objective is to ensure the Bank is not used, intentionally or otherwise, as a conduit for the laundering of proceeds of crime, and that it discharges its statutory obligations as a reporting entity in full and on time.

1.2 Legal and Regulatory Basis

This Policy gives effect to the Bank's obligations as a reporting entity under:

- The Prevention of Money-Laundering Act, 2002 (PMLA) and the PML (Maintenance of Records) Rules, 2005 - in particular the Section 12 obligations to verify client identity, maintain records and furnish information to the Financial Intelligence Unit - India (FIU-IND).
- The Reserve Bank of India Master Direction - Know Your Customer (KYC) Direction, 2016, as amended, prescribing Customer Acceptance, Customer Identification, risk categorisation and ongoing monitoring.
- The SEBI Master Circular on AML/CFT, where the Bank acts as or for a registered market intermediary.
- Red-flag indicators and typologies issued from time to time by FIU-IND.

1.3 Key Definitions

Money laundering is the process of concealing the origin of proceeds of crime through the stages of placement, layering and integration. **Reporting entity** means the Bank in its capacity as a banking company obliged to report under the PMLA. A **Suspicious Transaction Report (STR)**, used interchangeably with Suspicious Activity Report (SAR), is a report furnished to FIU-IND in respect of a transaction giving rise to a reasonable ground of suspicion. A **beneficial owner** is the natural person who ultimately owns or controls a client or on whose behalf a transaction is conducted.

2. Governance, Roles and Responsibilities

2.1 Principal Officer and Designated Director

The Bank shall appoint a Principal Officer of sufficient seniority responsible for monitoring transactions, ensuring compliance with this Policy and furnishing STRs to FIU-IND. The Bank shall also nominate a Designated Director bearing overall responsibility for compliance under the PMLA. The names, designations and contact details of both officers shall be communicated to FIU-IND.

2.2 Three Lines of Defence

The first line comprises business and operations staff who perform customer due diligence and raise internal alerts. The second line is the Financial Crime Compliance function, which calibrates monitoring rules, reviews alerts and determines whether an STR is warranted. The third line is Internal Audit, which independently tests the adequacy and effectiveness of the AML/CFT framework.

2.3 Independent Assurance and Model Governance

The automated monitoring system, its typology rules and its risk-scoring model are subject to periodic independent validation. Rule thresholds, false-positive rates and coverage are reviewed at least annually, and any change to a threshold or scoring weight is documented, approved by the Principal Officer and version-controlled so that every alert can be reconstructed against the rules in force at the time it was raised.

3. Customer Due Diligence

3.1 Customer Acceptance Policy

The Bank shall not open an account in an anonymous or fictitious name, nor where it is unable to apply appropriate customer due diligence, nor where the identity of the customer matches a person or entity on a designated sanctions or terrorist list.

3.2 Customer Identification Procedures

The Bank shall identify each customer and verify that identity using reliable, independent source documents, data or information, and shall identify and verify any beneficial owner where the customer acts on another's behalf.

3.3 Risk-Based Categorisation

Each customer is assigned a money-laundering risk category of low, medium or high on the basis of identity, financial status, nature of business and geography. The category determines the intensity and frequency of ongoing monitoring; a customer whose behaviour deviates materially from the expected profile is re-categorised and subjected to enhanced scrutiny.

3.4 Enhanced Due Diligence and Politically Exposed Persons

Enhanced due diligence applies to high-risk customers, to Politically Exposed Persons (PEPs) and their close associates, and to relationships involving jurisdictions with weak AML controls. Enhanced measures include senior-management approval to establish the relationship, establishing source of funds and source of wealth, and more frequent ongoing review.

3.5 Ongoing Monitoring of Transactions

The Bank continuously monitors transactions for consistency with its knowledge of the customer and their risk profile. Monitoring is performed by an automated transaction monitoring system that applies the typology rules in Section 4 and escalates exceptions for human review.

3.6 Sanctions and Watchlist Screening

Every customer, counterparty and payment is screened in real time against United Nations Security Council consolidated lists, lists notified by the competent Indian authority, and the Bank's internal watchlist. A positive or near match blocks the transaction pending review, and a confirmed match against a designated person is escalated immediately and reported irrespective of amount.

4. Transaction Monitoring and Red-Flag Typologies

The following typologies define the principal patterns the Bank treats as red flags. Each is implemented as an automated monitoring rule. Detection of one or more patterns generates an internal alert and, where the composite assessment warrants it, an STR under Section 5. Each typology below states its detection

threshold and the goAML indicator under which it is reported.

4.1 Structuring and Smurfing

Structuring (smurfing) is the deliberate fragmentation of what is in substance a single large transaction into several smaller transactions, each kept just below an applicable reporting threshold, to evade detection.

Red-flag indicators:

- A single credit or debit approaching but below the Rs. 10,00,000 reporting threshold.
- Multiple payments split across UPI identifiers, prepaid instruments or wallets that in aggregate approach the threshold.
- Amounts repeatedly landing in the Rs. 8,00,000-9,99,999 band.
- A customer who asks how large a transfer can be 'without paperwork'.

Detection threshold. The Bank treats a single credit or debit in the range Rs. 8,00,000 to Rs. 9,99,999 as a structuring indicator; amounts in the upper band Rs. 9,00,000 to Rs. 9,99,999 are a high-confidence indicator.

Illustrative example. A customer transfers Rs. 9,45,000 by international wire - just below the Rs. 10,00,000 threshold - with no commercial rationale on file.

goAML indicator code. This typology is reported to FIU-IND under indicator **STRUCTURING_BELOW_THRESHOLD**.

4.2 Rapid Movement of Funds

Funds that enter an account and are moved out again after only a brief interval may indicate layering, in which the account is used as a pass-through to obscure the audit trail.

Red-flag indicators:

- Large-value reversals or refunds shortly after credit.
- Funds received and forwarded within a short window with no economic purpose.
- An account balance that repeatedly returns to near zero after large in-and-out flows.

Detection threshold. A transaction of type REVERSAL or REFUND for an amount exceeding Rs. 1,00,000 is flagged, on the basis that funds may have rested only briefly before being returned or redirected.

Illustrative example. Rs. 4,00,000 is credited and a REVERSAL of Rs. 3,90,000 is issued to a different counterparty within hours.

goAML indicator code. This typology is reported to FIU-IND under indicator **RAPID_PASS_THROUGH**.

4.3 Large Round-Number Transactions

Genuine commercial transactions usually carry odd amounts reflecting prices, taxes and fees. Exact round figures are statistically unusual and may indicate movement of value unconnected to genuine trade.

Red-flag indicators:

- Amounts that are exact multiples of Rs. 1,00,000 with no fractional component.

- Round-sum transfers inconsistent with the customer's usual invoice pattern.
- Round amounts of Rs. 5,00,000 and above.

Detection threshold. The Bank flags any transaction that is an exact multiple of Rs. 1,00,000, and treats round amounts of Rs. 5,00,000 and above with heightened attention.

Illustrative example. A payment of exactly Rs. 5,00,000 with the description field left blank.

goAML indicator code. This typology is reported to FIU-IND under indicator **ROUND_AMOUNT**.

4.4 Dormant Account Activation

An account with no customer-initiated activity for an extended period that is then suddenly used for significant transactions presents elevated risk, as dormant accounts are a known laundering vehicle, including abuse of basic-savings and government-scheme (Jan-Dhan) accounts.

Red-flag indicators:

- Sudden high-value activity on an account long marked dormant.
- Reactivation shortly followed by outbound transfers to new counterparties.
- A change of contact details immediately preceding reactivation.

Detection threshold. Where the monitoring system marks an account as dormant prior to the activity under review, the resulting alert is treated as a high-confidence suspicious indicator and escalated for enhanced review of source of funds.

Illustrative example. An account dormant for 26 months suddenly receives and forwards Rs. 6,00,000 the same day.

goAML indicator code. This typology is reported to FIU-IND under indicator **DORMANT_REACTIVATION**.

4.5 High-Risk Transaction Types

Certain transaction types carry inherently elevated risk because they facilitate rapid, cross-border or pseudonymous movement of value, and are subject to enhanced scrutiny in every case.

Red-flag indicators:

- Cryptocurrency / virtual-asset purchases (CRYPTO_PURCHASE).
- International wire transfers (INTERNATIONAL_WIRE).
- Foreign-exchange transfers (FOREX_TRANSFER).
- Transactions bearing the characteristics of informal value transfer or hawala (HAWALA).

Detection threshold. The Bank classifies CRYPTO_PURCHASE, INTERNATIONAL_WIRE, FOREX_TRANSFER and HAWALA as high-risk and reviews each against the customer's profile and the stated purpose of the transaction.

Illustrative example. A retail customer with a domestic salary profile initiates a CRYPTO_PURCHASE to an offshore exchange.

goAML indicator code. This typology is reported to FIU-IND under indicator **HIGH_RISK_INSTRUMENT**.

4.6 High-Velocity Transaction Patterns

Velocity refers to the number of transactions conducted within a short window. A sudden burst of many transactions, disproportionate to the customer's established profile, may indicate layering or use of the account as a mule.

Red-flag indicators:

- A spike in transaction count far above the customer's baseline.
- Many transfers to distinct counterparties in a compressed period.
- Structured bursts timed to avoid periodic review.

Detection threshold. The Bank flags accounts exhibiting a high-velocity pattern; any alert whose composite risk score reaches or exceeds 90 is treated as a high-confidence velocity indicator warranting immediate review.

Illustrative example. An account executes 40 outbound transfers within one hour, against a monthly baseline of five.

goAML indicator code. This typology is reported to FIU-IND under indicator **HIGH_VELOCITY**.

4.7 High-Risk Counterparties and Institutions

The risk of a transaction is materially affected by the institution on the other side of it. Dealings with counterparties that cannot be reliably identified, with shell banks, or with entities in opaque offshore jurisdictions are treated as high-risk.

Red-flag indicators:

- Counterparty institution unknown or unverifiable.
- Shell banks with no physical presence.
- Offshore companies in opaque jurisdictions.
- Otherwise anonymous institutions.

Detection threshold. The Bank flags counterparties whose institution is unknown, a shell bank, an offshore company or otherwise anonymous, and applies enhanced due diligence before proceeding.

Illustrative example. An outbound wire is directed to an account at an institution recorded only as 'Unknown Bank'.

goAML indicator code. This typology is reported to FIU-IND under indicator **HIGH_RISK_COUNTERPARTY**.

4.8 Composite Risk Scoring

Each alert is assigned a composite risk score on a scale of 0 to 100, combining the base risk supplied by the originating system with increments for each typology triggered.

Red-flag indicators:

- A score at or above 75 requires escalation and, ordinarily, the filing of an STR.

- A score at or above 85 denotes a high-confidence determination.
- The score is an aid to, not a substitute for, the judgement of the Principal Officer.

Detection threshold. A composite score at or above 75 denotes a transaction sufficiently suspicious to require escalation; at or above 85, a high-confidence determination.

Illustrative example. Structuring, an international wire and a risk score of 88 combine to a composite score of 100, escalated for immediate filing.

goAML indicator code. This typology is reported to FIU-IND under indicator **HIGH_COMPOSITE_RISK_SCORE**.

4.9 Mule Accounts and Third-Party Layering

Accounts opened or rented for the purpose of receiving and forwarding the proceeds of others - 'money mules' - are a recurring layering vehicle, frequently recruited through fraudulent job or investment offers. Indicators include an account whose inflows and outflows are inconsistent with the holder's stated occupation, rapid onward transfer of received funds, and clusters of accounts sharing a device, IP address or beneficiary. Such patterns are escalated for enhanced review even where no single Section 4 threshold is met.

5. Suspicious Transaction Reporting

5.1 Obligation to Report

The Bank shall furnish an STR to FIU-IND whenever it has reasonable grounds to believe that a transaction, or a series of transactions, involves the proceeds of crime, regardless of amount and irrespective of whether the transaction was completed or merely attempted. There is no monetary threshold for an STR: suspicion alone is sufficient and necessary.

5.2 Internal Escalation Workflow

Alerts are reviewed by the Financial Crime Compliance team. Where an alert is assessed as a genuine suspicion it is escalated to the Principal Officer, who determines whether an STR is filed. The reasoning, evidence and decision for every escalated alert are documented and retained, whether or not a report is ultimately made.

5.3 goAML Filing Format and Required Content

STRs are submitted to FIU-IND electronically through the goAML portal in the prescribed format. Each report shall, at a minimum, identify the reporting entity and the Principal Officer; describe the account holder and any beneficial owner; set out the transaction details including date, amount, type and counterparty; state the ground of suspicion with reference to the specific typology or red flag observed and its indicator code; and attach the supporting analysis. The narrative must be clear, factual and self-contained.

5.4 Timeliness

An STR shall be furnished to FIU-IND not later than seven working days after the Bank forms the suspicion. Delay defeats the purpose of the report and may itself attract regulatory consequence.

5.5 Prohibition on Tipping-Off

No officer or employee shall disclose to the customer or any third party, directly or indirectly, that an STR has been or is being filed or that the customer's transactions are under examination. Tipping-off is strictly prohibited and is itself a serious compliance breach.

6. Record-Keeping and Retention

The Bank shall maintain records of all transactions, of the identity of its clients, and of all STRs filed, in a manner allowing the reconstruction of individual transactions. Identity records are retained for the period prescribed under the PMLA after the business relationship ends, and transaction records for the prescribed period after the transaction date. Records are made available to competent authorities on demand.

7. Employee Training and Awareness

The Bank shall implement an ongoing training programme so that staff understand their obligations, can recognise the red-flag typologies in Section 4, and understand the escalation procedure and the prohibition on tipping-off. Training is tailored to role and refreshed at regular intervals.

8. Consequences of Non-Compliance

Failure to comply with the PMLA may expose the Bank to monetary penalties imposed by the Director, FIU-IND, ranging from Rs. 10,000 to Rs. 1,00,000 for each failure, and to further supervisory action by the Reserve Bank of India. An employee who wilfully disregards this Policy is subject to disciplinary action up to and including termination, in addition to any personal liability under law.

9. Policy Governance and Review

This Policy shall be reviewed at least annually, and additionally whenever there is a material change in the law, in regulatory guidance, or in the Bank's products and risk profile. Amendments require the approval of the Board Risk and Compliance Committee. The Principal Officer maintains the current version and communicates changes to all affected staff.

Appendix A. Typology to goAML Indicator Reference

Section	Typology	Detection threshold	goAML indicator
4.1	Structuring / Smurfing	Rs. 8,00,000-9,99,999	STRUCTURING_BELOW_THRESHOLD
4.2	Rapid Movement of Funds	REVERSAL/REFUND > Rs. 1,00,000	RAPID_PASS_THROUGH
4.3	Large Round-Number	Exact multiple of Rs. 1,00,000	ROUND_AMOUNT
4.4	Dormant Account Activation	Activity on a dormant account	DORMANT_REACTIVATION
4.5	High-Risk Transaction Type	CRYPTO/WIRE/FOREX/HAWALA	HIGH_RISK_INSTRUMENT
4.6	High-Velocity Pattern	Score >= 90 high-confidence	HIGH_VELOCITY
4.7	High-Risk Counterparty	Unknown/shell/offshore	HIGH_RISK_COUNTERPARTY
4.8	Composite Risk Scoring	Score >= 75 (>= 85 high)	HIGH_COMPOSITE_RISK_SCORE

End of document - Meridian Bank Limited AML/CFT Policy v4.0 (synthetic test data).